

SECTION A – CASE QUESTIONS (TOTAL: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

CASE

Amber Holdings Limited ("Amber") is listed on the Main Board of the Hong Kong Stock Exchange. Amber and its subsidiary (the "Group") have a financial year end date of 30 June and apply Hong Kong Financial Reporting Standards in their preparation of financial statements.

Amber paid HK\$600 million for 5% of the ordinary share capital of Bluebonnet Sports Limited ("Bluebonnet") on 1 January 2012 and has been holding this investment for a number of years. Amber further acquired the ordinary share capital of Bluebonnet on 1 July 2019 and has obtained control over Bluebonnet since then.

Background information of Bluebonnet

Bluebonnet designs, markets, and sells high-performance sportswear, including apparel, footwear, and accessories for men, women, and youth. Headquartered in Hong Kong, Bluebonnet was founded in the year 1998 with a mission to provide athletes with sportswear with optimal functionality and comfortable fit. Bluebonnet has grown rapidly in recent years through a consumer-centric approach that utilises key technological advancements as well as extensive use of data science and analytics.

To continue the expansion of its product range, Bluebonnet took on a long-term loan denominated in Euros from an unrelated financial institution during the year ended 30 June 2020 which remained outstanding as at 30 June 2020. The functional and presentation currency of Bluebonnet is Hong Kong dollars.

Bluebonnet does not operate its own retail outlets. It has, however, a number of lease contracts, with an average lease term of three years, with unrelated parties for renting its warehouse and distribution centres. Such leases have been properly accounted for, with right-of-use assets and lease liabilities recognised on its statement of financial position.

Sales and marketing activities of Bluebonnet

Bluebonnet sells its products through the following two channels:

(i) Online sales

Since the year 2018, Bluebonnet has maintained its own website <http://www.bluebonnetsports.com> (the "Website"). Customers can browse the Website and place orders directly and pay electronically. This sales channel contributes to around 20% of Bluebonnet sales, but this proportion is expected to gradually increase to around 30% in the year 2022.

After an order is placed on the Website, the customer is charged the recommended retail prices of the ordered items together with a delivery fee if the total value of such an order is below HK\$800. Goods are then delivered to the customer from the distribution centre through third-party logistics providers.

The Website is directly linked to its customer database, which captures information on customer demographics, preferences, relationship histories, past buying patterns, etc. (the "Database").

(ii) Retail sales

Bluebonnet sells most of its sportswear through its third-party retail partners including sporting goods chains and department store chains. This sales channel contributes to around 80% of Bluebonnet sales.

Bluebonnet signs contracts with third-party retail partners. Under the contract terms, retail partners are required to sell Bluebonnet's products at their respective recommended retail prices, which have been predetermined by Bluebonnet. Bluebonnet then delivers the sportswear to the retail partners' stores. The retail partners have to pay a small deposit upon delivery of the products to the stores and have a further obligation to pay Bluebonnet the agreed-upon portion of the recommended retail price once they sell the sportswear to the end-customer, netted with the deposit. Normally, such an agreed-upon portion would be set at 70% to 80% of the sales price, depending on the order volume and the position/ location of Bluebonnet's products in the retail partners' premises. Further, Bluebonnet has the right to require retail partners to either return the sportswear or transfer them to another retail partner.

To continually develop its brand awareness, Bluebonnet has entered into a three-year agreement with Mr Chad Lee, a swimmer who is ranked number 15 in the world, as at 1 July 2019 (i.e. the contract signing date). The agreement includes the following payment terms:

- Chad received a signing bonus of HK\$48 million on 1 July 2019. In return, Chad is not allowed to represent other brands from 1 July 2019 to 30 June 2022, and he has to adhere to a code of conduct throughout the three years. If Chad fails to fulfil the above requirements, he is obliged to return the signing bonus based on the terms set out in the contract.
- On top of this, Chad can earn an annual bonus of HK\$10 million, payable on 30 June 2020, 2021, and 2022, provided that Chad completes a national competition specified for each year in the contract while wearing Bluebonnet's swimwear during the competitions. The specified national competitions are usually held in October or November during the year.
- Other than the signing bonus and the annual bonus, Chad may receive annual additional payments of HK\$8 million if he can achieve a world ranking in the top 10 during a respective year commencing on 1 July.

The above payments (signing bonus, annual bonus, and annual additional payments) are assumed to be not interrelated, and the separate services in the contract cannot be identified and measured reliably.

Acquisition of further shares of Bluebonnet

To respond to the global athleisure trend, Amber paid HK\$8,080 million for an additional 75% of the ordinary share capital of Bluebonnet on 1 July 2019. Bluebonnet became an 80% non-wholly-owned subsidiary of Amber. Amber has agreed to issue 20 million ordinary shares of Amber to the ex-owners of Bluebonnet (the "Additional Shares") if Bluebonnet can meet an annual profit target of an average of HK\$1,200 million over a two-year period, starting from 1 July 2019 (the "Profit Guarantee").

The Additional Shares, if any, will be issued on 1 September 2021. The fair value of the Profit Guarantee was determined on 1 July 2019 to be HK\$1,300 million. Bluebonnet had share capital of HK\$8,500 million and retained earnings of HK\$2,800 million with no other reserve on 1 July 2019. Amber chose to measure the non-controlling interest in this acquisition at their fair value at the acquisition date, which was measured at HK\$2,496 million. On the same day, the fair value of Amber's 5% investment in Bluebonnet was measured at HK\$620 million.

A purchase price allocation exercise revealed that the fair value of the recorded net identifiable assets of Bluebonnet was close to the book value as at the acquisition date. Although the Database (referred to in the above section) could either be sold or licenced, Bluebonnet had no intention to do so because it would negatively impact its operations. The Database had a fair value of HK\$750 million as at the acquisition date and had a remaining useful life of three years with no residual value. This Database is deductible for tax purpose and Bluebonnet is subject to a profits tax rate at 16%.

On 30 June 2020, the fair value of the Profit Guarantee increased to HK\$1,700 million.

Amber has not issued any new shares during the year ended 30 June 2020 and recorded no other reserve on 30 June 2019. Selected financial information (in HK\$ million) for Amber and Bluebonnet for the year ended 30 June 2020 is as follows:

(in HK\$ million)	Amber	Bluebonnet
Total assets	35,260	22,000
Total liabilities	17,560	10,380
Total equities		
Share capital	7,400	8,500
Retained earnings, 1 July	8,200	2,800
Profits for the year	2,000	1,320
Dividends declared and paid	(1,200)	(1,000)
Retained earnings, 30 June	9,000	3,120
Other reserve	1,300	-
	<u>17,700</u>	<u>11,620</u>

Question 1 (15 marks – approximately 27 minutes)

You are the Financial Manager of Amber.

The sales channel and marketing activities of Bluebonnet are different from those adopted by Amber as Amber sells its products through its own-branded retail outlets and relies heavily on traditional marketing strategies to promote its products. The Board of Directors would like to know the accounting impacts arising from the sales and marketing activities of Bluebonnet.

Required:

Prepare a report for the board meeting to:

- (a) advise on when Bluebonnet should recognise revenue generated through the two sales channels. (8 marks)
- (b) advise on how the payment to Mr Chad Lee should be accounted for in the separate financial statements of Bluebonnet. (7 marks)

Note: A maximum of 2 marks for communication skill and 2 marks for analytical skill will be awarded.

Question 2 (31 marks – approximately 56 minutes)

Advise on the accounting impact to the Group arising from the acquisition of Bluebonnet throughout the year ended 30 June 2020 based on the information provided.

You are required to:

- (a) explain the impact, with a detailed discussion on the relevant requirements in the applicable accounting standard(s), in the consolidated financial statements of the Group for the year ended 30 June 2020 arising from:
- the business combination on 1 July 2019; and
 - the issues subsequent to the acquisition date in the preparation of the consolidated financial statements for the year.
- (22 marks)
- (b) summarise this impact with the preparation of the consolidated statement of changes in equity for the Group for the year ended 30 June 2020. (9 marks)

Note: You must show supporting calculations in addressing this question, but journal entries are not required.

Question 3 (4 marks – approximately 7 minutes)

One of the members of the audit committee of the Group made the following comment:

"The Group finances its operation using both equity and debt financing. It seems to me that there has been much required disclosure in reconciling the equity balances during the year in the consolidated financial statements. I am not aware of similar disclosure requirements for liabilities arising from financing activities."

Required:

Evaluate the above comment relating to the liabilities arising from financing activities by making reference to applicable accounting standards and the information provided in the case.

(4 marks)

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End of Section A

SECTION B – ESSAY / SHORT QUESTIONS (TOTAL: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

Question 4 (19 marks – approximately 34 minutes)

Jolly On You Company Limited ("JOY") is a toy manufacturer specialised in producing AI pets. The company is listed on the Hong Kong Stock Exchange and has a financial year end of 31 March. For the year ended 31 March 2021, its financial statements were authorised for issue on 28 May 2021.

Trade receivables

The following sets out the outstanding trade receivables from JOY's customers, which are major retail chains in Hong Kong. The balances are considered to be material to JOY. There is no significant financing component involved.

Customer	Outstanding balance as of 31 March 2021 (HK\$ million)	Amount past due as of 31 March 2021 (HK\$ million)	Amount settled up to 28 May 2021 (HK\$ million)
Strawberry Company Limited ("SCL")	5	5	5
Fig Tree Republic ("FTR")	10	-	-

Matt Man is the Finance Manager of JOY.

In April 2021, all the outstanding receivables as of 31 March 2021 from SCL were settled. Matt considered that given the full settlement, JOY did not need to record any loss allowance against the then outstanding balance. He also believed that there was no need to go into further assessment of whether any loss allowance should be recorded because it was fully recovered.

On 1 May 2021, FTR went bankrupt. Matt advised that the event was completely unexpected – FTR was still settling balances with JOY every month before the year end so there was no "expected credit loss" to recognise as of 31 March 2021.

Machineries

Matt noted that the fair value of JOY's machineries dropped below their corresponding carrying amounts as at 31 March 2021. Matt is proposing to record an impairment loss against the machineries in the financial statements for the year ended 31 March 2021 as the fair value has fallen below the carrying amount.

Required:

- (a) For both SCL and FTR, evaluate each of Matt's comments and advise whether you agree that no loss allowance is needed for the trade receivables outstanding as of 31 March 2021. (10 marks)
- (b) In respect of the machineries, explain if you agree with Matt's proposal. (5 marks)
- (c) Advise on the impact, if any, on the basis of preparation of and disclosures in JOY's financial statements for the year ended 31 March 2021 if their management determines on 27 May 2021 that the company has to cease trading. (4 marks)

Question 5 (21 marks – approximately 38 minutes)

Eat n Relax Limited ("ENR") is an expanding restaurant chain in Asia listed on the Hong Kong Stock Exchange. ENR has a year end of 31 March, and it presents its operating segment information by cities and types of food sold.

During the year ended 31 March 2021 ENR entered into the following:

I. Acquisition of Bubble Dragon Limited ("BDL")

BDL specialises in selling beverages through its outlets all over Asia. In its draft consolidated financial statements, ENR discloses that goodwill from the acquisition arises from the synergies between BDL and ENR's fried chicken business. For the purposes of impairment assessment, ENR allocates the goodwill arising from the acquisition solely to BDL as a whole.

II. Loan to Tiger Jump Group ("TJG")

ENR lent HK\$3 million to TJG, a strategic partner, at HIBOR + 7 bps subject to a cap to 4% for a tenure of three years. The loan is secured by 5% share capital in TJG. The loan is held within a business model with an objective to collect the contractual cash flows.

III. Application for government assistance

Due to a pandemic during the year, the catering industry suffered a significant drop in business, leading to the government offering a number of different forms of assistance, including:

- A) a once-off subsidy of HK\$200,000 provided to eligible licence holders of the premises in operation, including general restaurants, so long as the applicant continues to hold a valid food business licence on or before 1 January 2021 and that the corresponding business remained in operation on the date of submission of the application; and
- B) a subsidy equivalent to 50% of the monthly wages of employees to eligible employers to retain employees who may otherwise be made redundant. Employers participating in the scheme are required to undertake and warrant that they will not implement redundancies during the subsidy period between January to March 2021, and the amount will be fully used to pay wages to the employees.

As of 31 March 2021, ENR has already submitted the relevant applications. Management expects the subsidies to be approved and dispatched by April 2021 at the latest.

Required:

- (a) **Advise your view on how ENR allocates goodwill arising from the acquisition of BDL for the purposes of impairment assessment.**
(5 marks)
- (b) **Advise on how the loan extended by ENR to TJG should be accounted for.**
(5 marks)
- (c) **Advise on how each form of government assistance above should be reflected in the consolidated financial statements of ENR for the year ended 31 March 2021, and state your assumptions, if any.**
(11 marks)

Question 6 (10 marks – approximately 18 minutes)

Bling Limited ("BL") sells fast clothing through its chains of retail outlets worldwide. It sources its goods from its wholly-owned manufacturing facilities located in mainland China, Cambodia, and Vietnam, while the corresponding raw materials (e.g. cotton) are sourced by the respective factories locally.

BL is listed on the Hong Kong Stock Exchange.

Joan Chan, the Accounts Manager of BL, noticed that one of the factories in Cambodia is extending interest-bearing loans to its workers in return for their work in the factory. However, the wages are so low that the workers would be forced to work long hours with little chance of being able to cover their daily expenses and repay the debt. The matter is not disclosed in any of the company's financial/ non-financial reports. Joan has brought the matter up to Jill Chow, the Finance Director of BL. Jill's husband is overseeing the operations of the factories in Cambodia.

Jill said, "The loans are not material to the financials, and we have already followed the relevant financial reporting standards. I do not see what the fuss is all about – I do not think that would affect the auditors' opinion on our financial statements. After all, we need to reduce the costs to the company as much as possible."

Both Joan and Jill are members of the Hong Kong Institute of Certified Public Accountants.

Required:

(a) Describe integrated reporting and contrast it with Environmental, Social, and Governance ("ESG") reporting. Describe also the roles and responsibilities of BL's board in ESG reporting.

(4 marks)

(b) Advise as to the ethical issues involved with Jill in accordance with the Code of Ethics of Professional Accountants.

(6 marks)

* * * END OF EXAMINATION PAPER * * *